

FINVOLUTION GROUP FINV

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by

huqiu

			2026	2027
Price:	4.75	EPS	1	1
Shares Out. (in M):	254	P/E	5	5
Market Cap (in \$M):	1,200	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	1,200	TEV/EBIT	0	0

Description

FinVolution (FINV) is a leading pure-play unsecured consumer lender in the China and ASEAN regions. At the current 4x P/E and 0.5x P/B, FINV offers a highly attractive risk-reward profile, with potential for 50-100%+ upside over the next 3-5 years driven by a combination of robust dividends, aggressive buybacks, and a recovery in investor sentiment. While other Online Consumer Lending Platforms ("OCLPs") offer exposure to this sector, FINV represents the best-in-class pick due to its rapidly growing international business and high-quality loan book.



Company Overview

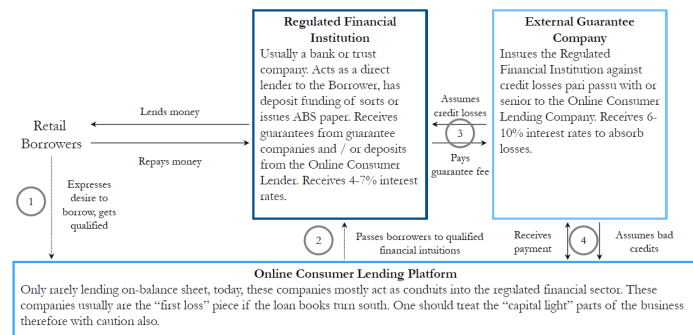
FINV is one of the big 3 pure play Chinese consumer online lending facilitation platforms along with QFIN and LX, all of which benefit from scale of operations, technological leadership, and advantaged customer acquisition costs. FINV is an industry pioneer that started in 2007 as PPDai, back then as an online P2P lending facilitator, whose business model has since undergone tremendous change into today's online lending facilitation platform. Compared to the other big 3, FINV is differentiated by its international business, which by now constitutes 30% of revenues and 8% of adj. operating profits as of 2026Q1. While each of the big 3 have their strengths and weaknesses and you could take a basket approach if you like the thesis but you don't want to take too much concentration risk: QFIN has historically had the best and largest near prime customer base, LX has an interesting ecommerce business, and FINV has quickly and successfully built an international business. I will outline a brief history of the Chinese online consumer lending industry and why these players currently trade at such depressed valuation levels.

A Brief History

This industry has undergone a long journey from the wild P2P days through successive rounds of regulation to become the quasi-regulated lending platform providers of today. FINV and YRD started off as online P2P lenders at around 2006, taking monies from individual savers and lending them out at 30%+ interest rates to individual borrowers. Predictably, there was a lot of uproar due to questionable lending and collection practices, as well as investors' monies lost. In 2015, the People's Bank of China ("PBC"), China's central bank, effectively capped interest rates at 36%, later lowered to 24% since 2017. There has been a lot of window guidance transmitted via the local branches of PBC, and an abandoned attempt to cap rates at 4x loan-prime rate. Overall, Chinese banks were neither well equipped technologically nor very motivated economically / politically to enter this lending vertical outright, which is why even to-date, this unsecured consumer lending is largely the remit of private sector players.

Business Model Description

Since the burst of the real estate bubble and the PBC successively lowering rates towards zero, however, banks have been looking for yield and thus engaging in this asset class. Due to the regulation on rates and effective ban on unlicensed fundraising activities in 2019, the original P2P lenders have since moved their funding sources to financial institutions, partnering up with banks and trust companies that both providing funding and lending either through banks or other licensed microcredit or consumer lending companies. I have provided a simplified snapshot below.



Please note that the publicly traded OCLPs are not the only game in town: Ant Financial is a big player in the prime space and the various internet platforms such as TCOM all have their own consumer lending arms due to cheap customer access, but the overall idea is the same as the pureplay OCLPs. I want to summarize the most important aspects here because I believe they are somewhat misunderstood:

1. Whilst the OCLPs may hold lending licenses (mostly microcredit licenses), they do relatively little on balance sheet lending,
2. Although they do little on-balance sheet lending, I prefer viewing them as having and taking credit risk. Whether it's ABS-funded on balance sheet lending, off-balance sheet via explicit guarantees, or depositing monies as first loss pieces: when credit turns south, these guys will take hits, and
3. Due to #2 above, these are not risk-free fee businesses like V/MA, however, because of usually very good credit control, great unit economics customary to consumer lenders, and moderate amounts of leverage, the returns on capital are quite exceptional through the cycle.

Recent Regulatory Headwinds

Early 2025, the PBC issued a notice "reminding" the industry of the 24% cap rate, later issuing window guidance to further lower borrowers' costs, which has led to an industry-wide downturn. Officially, the goal was to lower borrowing expenses and encourage greater borrower segmentation; effectively, bureaucrats wanted to fight recent rise in customer complaints about more or less well-hidden fees as well as morally questionable practices such as lending to students. The listed OCLPs tightened lending criteria and mostly abandoned the 24%+ bucket of customers in response to new regulations, and as a result the OCLPs saw declining revenue and profits, although most remained solidly profitable. The regulatory crackdown is probably not over yet, with the recently announced 4x LPR for microcredit lenders highly criticized, however, I think and hope the worst is over and at the present earnings multiples, one is well compensated for this risk.

Risks

The largest risks are further regulatory tightening or a severe credit event. Regulatory tightening can come either from the Chinese regulators or by the regulators of the other international markets FINV is active in. Overall, Chinese are relatively averse to the notion of debt and throughout history, lenders have had a questionable reputation, so one shouldn't expect too much love from the regulators. On the other hand, the Chinese OCLPs face relatively little competition, earn very good money, and trade at very attractive earnings multiples. The regulatory ceiling is also coming in other markets such as Indonesia and Philippines, but overall regulators are a lot less aggressive and competition is not very fierce. There's always quite a lot of risk for unsecured consumer lenders in economic downturns, but given all OCLPs experience during even COVID-10 or the downturn, I think this is a lesser risk.

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Catalyst

Buybacks, dividends

Messages

Subject Why now?
Entry 07/20/2026 06:03 PM
Member qwerty12345

Thanks for the write up. Been following this space in China for many years and it feels like the regulatory overhang is permanent, and that is probably for good reason. These companies have always looked great on paper due to low multiples and fairly aggressive capital return policies, but FINV is now trading roughly in line with its historic mean and I don't see signs of the regulatory uncertainty diminishing. So why do you think the story looks particularly interesting now? Investors are clearly fatigued by the constant reemergence of regulatory risks (not to mention the ever-present due diligence barriers that non-Chinese investors continue to face when investing in China).

I would also love to get your take on their international expansion. I understand that this has been a growth engine, but do you really think investors are ascribing much long-term value to this side of the business? Regulatory risk seems to be even greater in most of the new markets vs China and predicting long-term profitability is challenging.

Subject Re: Why now?
Entry 07/21/2026 09:57 AM
Member huqiu

Hi qwerty,

You nailed it on many fronts, these guys are "cheap for numerous reasons" and I view these are priced in and am willing to sit on these for a few years to benefit from the regulatory storm clouds (kind of) going away and the ensuing re-rating. To address a few of your points separately:

1. Why now? I cannot point to a hard imminent catalyst, apart from "waiting for the regulatory crackdowns to abate." However, even with the announced rules coming into force, I think FINV will do quite alright from here, with no recovery being priced in at all. But this is not one for the "thesis with a catalyst crowd" that's true, although questionably, FINV's buybacks now are more aggressive than QFIN's at the moment
2. I think FINV today is a much better and stronger business, due to (a) much higher quality domestic loan book, and (b) international expansion, which is now capital generative, so is attractive vis-a-vis its own history, at median / mean valuation multiple ranges
3. There is little to no long-term valued priced in wrt the international business in my view. To be fair, if you wanna be cynical about it, what's the point of international expansions into white-space geographies if the regulators there also constantly bringing in the ceiling (see Indonesia). OTOH, if you look at NU and were a bit more open minded, one can see these guys turn into a major force in banking / payments. To be fair, they disclosed little to no info re the international biz till lately, and I think they are being rather conservative about it, in my opinion, but it's hard to put a finger on it. IPF (I know, very different business in a way, but hear me out) is recently being sold at a pedestrian multiple but overall, LT shareholders did just fine, factoring the punchy dividends. I personally think this is one of those industries that never trades at high multiples, and for moral and other reasons constantly face the ire of regulators and governments. But I do think one gets paid fairly well for playing in this arena (provided you don't forget to get out in time), like many other cyclical names I deal with